

Flow 4: Autopay Policy & Management

Product Area: Bank / Program Admin

Version: v1.0 · May 2026

Status: Draft

1. Purpose & Scope

This PRD defines the requirements for **Autopay Policy & Management** in the Bank / Program Admin console. It covers the configuration of program-level autopay rules and the operational tooling to monitor, override, and troubleshoot autopay for individual cardholders.

This document covers:

- Program-level autopay policy: allowed modes, execution timing, retry policy
- Per-cardholder autopay enrollment visibility and override controls
- Autopay execution monitoring (scheduled, processed, failed)
- Disabling autopay for specific accounts (delinquency, fraud hold, etc.)
- Audit logs of autopay execution and admin overrides

This document does not define:

- Cardholder-side autopay setup UI (covered in End-Client PRDs)
- ACH settlement and ledger reconciliation
- Bank account linking and verification (handled by a payments service)

For underlying autopay business logic, this PRD inherits the rules defined in the **Autopay Rules & Overrides** document and elaborates the admin-facing surfaces and overrides on top of that contract.

2. Goals & Success Criteria

Goal	Success Criterion
Predictable, transparent autopay for every program	100% of scheduled autopay runs have a clear, queryable execution outcome
Admin can intervene quickly when policy or compliance requires	Override-by-account action completes in ≤ 2 clicks with reason capture
Autopay never overdraws or double-charges	Manual-payment-before-autopay reconciliation logic verified in monitoring
Failures route to user action, not silent retry	Zero auto-retries; 100% of failures generate cardholder notification



3. Personas

- **Program Admin (primary):** Configures policy and monitors execution.
- **Servicing Agent:** Looks up an individual cardholder's autopay status to support a customer interaction.
- **Risk / Compliance:** Disables autopay on accounts under restriction.
- **Cardholder (downstream):** Sets up and manages their own autopay in the consumer app, governed by the rules configured here.



4. Functional Requirements

4.1 Program-Level Autopay Policy

The policy is established at program configuration time (see Flow 1 §4.6) and reviewed/edited via this surface.

Allowed autopay modes (toggleable; at least one must be enabled)

- Minimum Payment Due (always enabled; cannot be disabled — the safety floor)
- Statement Balance
- Fixed Amount

Execution timing

- Execute on due date, OR N days before due date (issuer-configurable offset)

- Cutoff time for same-day initiation (in explicit time zone)

Non-business-day handling

- If scheduled date is a weekend or holiday, execution shifts to the next business day (per Autopay Rules §5.2)

Retry policy

- **No automatic retries on failure.** Per Autopay Rules §8.2, retrying requires explicit user action.
- This is an immutable rule and not admin-configurable.

Reminder notifications

- Whether to send pre-execution reminder, and how many days in advance
- Notification channels (email, SMS, push) — inherits program notification preferences

4.2 Autopay Enrollment Visibility

Admin can view, per program:

- Total accounts enrolled in autopay
- Distribution across modes (% on Min Due / Statement Balance / Fixed Amount)
- Distribution across funding source health (Verified / Unverified / At-Risk)
- Trend over time

Drill down into individual enrollments:

- Per-account: mode, fixed amount (if applicable), funding source, next scheduled run date, last run outcome, days enrolled

4.3 Per-Cardholder Autopay View

Within an account detail view (link from Flow 2), admin sees:

- **Current configuration**
 - Enabled / Disabled / Paused
 - Mode (Minimum / Statement Balance / Fixed Amount)

- Fixed amount (if applicable)
- Funding source (masked account number, bank name, verification status)
- Execution timing (computed from program policy)
- Next scheduled run date and projected amount
- **Execution history**
 - Date, amount, mode, funding source, status (Scheduled / Pending / Posted / Failed), failure reason if any
 - Link from each entry to the underlying payment record in Flow 6
- **Pause / Disable history**
 - Reason for each pause/disable, actor, timestamp

4.4 Admin Override Actions

Disable autopay for an account

- Required for compliance-driven scenarios: delinquency thresholds, fraud hold, account closure
- Reason code required (controlled list): Delinquency, Fraud Hold, Compliance Restriction, Funding Source Failure, Customer Request, Program Migration
- Cardholder is notified
- Disable is logged

Pause autopay (optional MVP)

- Temporary halt without losing configuration
- Resume requires admin action or, if user-initiated, cardholder action

Re-enable after failure

> *Per Autopay Rules §9: autopay is automatically disabled (paused) after a failed payment. Re-enabling requires explicit user action — admin **cannot** unilaterally re-enable on the cardholder's behalf in MVP.*

This is a deliberate constraint: it prevents an admin from accidentally re-triggering a failed payment without the cardholder confirming the underlying issue is resolved.

Force-disable cannot be reversed by admin alone: if an admin disables autopay, the cardholder must explicitly re-enroll.

4.5 Execution Monitoring Dashboard

Admin-facing operational view of autopay runs.

Today's runs

- Total scheduled
- Currently processing
- Completed (posted)
- Failed (breakdown by reason: insufficient funds, ACH return, invalid funding source, processing error)

Per-run drill-down

- Account, amount, funding source, status, timestamps for each lifecycle transition

Alerts

- Spike in failure rate beyond issuer-configured threshold
- ACH return rate anomaly
- Funding source verification expirations approaching

4.6 Audit Log

Every admin action and every autopay execution is logged:

- Actor (system for executions; user for overrides)
- Account / case reference
- Action / event type
- Inputs and outcome
- Timestamp (UTC)

Logs are exportable and retained per program retention policy.

5. Business Rules

These rules are inherited from **Autopay Rules & Overrides** and made explicit here for admin visibility:

1. Only one autopay configuration may be active per account at a time.
2. Autopay requires a verified, active, ACH-eligible funding source.
3. If a manual payment fully satisfies the autopay obligation before execution, autopay does not run. If partial, autopay runs for the remainder.
4. Statement Balance mode: payments made after statement close but before autopay execution reduce the autopay amount.
5. Fixed Amount mode: amount is capped at current outstanding balance.
6. Statement Balance = \$0 → autopay does not run.
7. Credit balance (overpayment state) → autopay does not run.
8. Autopay is automatically disabled (and re-enrollment is user-only) when: funding source becomes invalid, account is closed, user manually disables, or payment fails.
9. Mid-cycle configuration changes apply to the next eligible cycle; in-progress runs are not altered.

6. Related Flows

Depends On	Reason
Flow 1: Card Program Configuration	Source of allowed autopay modes and execution timing
Flow 2: Cardholder Account Management	Account state (open, suspended, closed) gates autopay
Flow 6: Statement & Billing	Statement close drives autopay scheduling and amount calculation
Payments / ACH service	Executes the actual debits
Notification system	All autopay-related notifications

Depends On	Reason
End-Client: Autopay Setup, Management, History	Consumer surfaces governed by this policy

7. Edge Cases

Case	Expected Behavior
Autopay mode = Statement Balance, statement balance is \$0	Autopay does not run; no notification of “no payment” required by default
Cardholder makes manual payment > Statement Balance after statement close	Autopay does not run (obligation satisfied); cardholder notified
Funding source becomes unverified between scheduling and execution	Autopay fails on execution; cardholder is notified; autopay is disabled
Account moves to Suspended status between scheduling and execution	Autopay is paused; execution does not run; cardholder is notified
Cardholder changes mode mid-cycle (Min Due → Statement Balance)	New mode applies next cycle; current cycle's scheduled run is unaffected
Cardholder has an open dispute with provisional credit that brings Statement Balance below Min Due	Autopay runs against the lower obligation per Statement Balance mode; against Min Due mode, runs as scheduled
Two manual payments and an autopay all post on the same day	Applied in order received; final balance reflects all three; cardholder sees three line items
Card replaced (lost/stolen) but account autopay configuration is unchanged	Autopay continues to run against the account (autopay is account-level, not card-level)
Admin disables autopay during a scheduled-but-not-executed run	Run is cancelled; cardholder is notified that autopay has been disabled and the scheduled payment will not occur
Daylight saving / time zone edge on cutoff time	Use the configured time zone literally; document cutoff as “11:59 PM [TZ]”

8. Compliance Notes

- **CFPB autopay enrollment standards:** Cardholder must affirmatively enroll; this admin flow surfaces enrollment but does not bypass the consent flow that occurs on the cardholder side.
> Audit reference (Finding #3): the cardholder-facing autopay state must clearly disclose enrolled amount type, source account, and next debit date. This admin flow is the source of truth for those displays.
 - **Reg E (for ACH debits):** Each scheduled autopay execution is an electronic fund transfer; notification and confirmation requirements apply to the cardholder-facing surface.
 - **CARD Act:** Autopay must not be a precondition for receiving the card; admin policy must allow disabled-by-default for the program (this is the default).
 - **No auto-retry rule:** This protects consumers from cascading NSF fees and is a hard product principle, not a configurable option.
-

? 9. Open Questions

- Same-day ACH eligibility — issuer-configurable, currently deferred.
- Should there be a “soft retry” window of N hours within the same business day for transient ACH errors? (Currently: no.)
- Bulk-pause of autopay for an entire cohort (e.g., during a payment processor outage) — MVP or post-MVP?
- Future: alternative funding sources (debit card, wallet) — out of MVP.
- Should admin be able to see *why* a specific cardholder chose a specific mode (analytics use case)?